# Mexico's 50% tariff wall pushes India to the negotiating table

Mexico has put tariffs of up to 50% on imports from countries without a trade deal with it. India, whose car exporters are hit hardest, is about to start formal talks on a preferential trade agreement.

## WHAT HAPPENED

- **Since 1 January 2026**, Mexico has charged tariffs of up to 50% on **1,463 product categories** from countries it has no trade agreement with.
- Affected goods include cars and car parts, textiles, footwear, steel, plastics, chemicals and pharmaceuticals.
- The tariffs support **Plan México**, which aims to raise the local content in Mexican production by 15% by 2030.
- India exported US$5.73b of goods to Mexico in 2025–26 and imported about US$2.1b, so it runs a surplus. **Cars (about US$1.92b)** are its largest export there.
- India and Mexico are about to sign terms of reference for a **preferential trade agreement**. The tariffs stay in place until a deal is finalised.

**Protectionism:** government measures that shield local producers from foreign competition
**Preferential trade agreement:** a deal giving members lower tariffs than other countries pay

## KEY NUMBERS

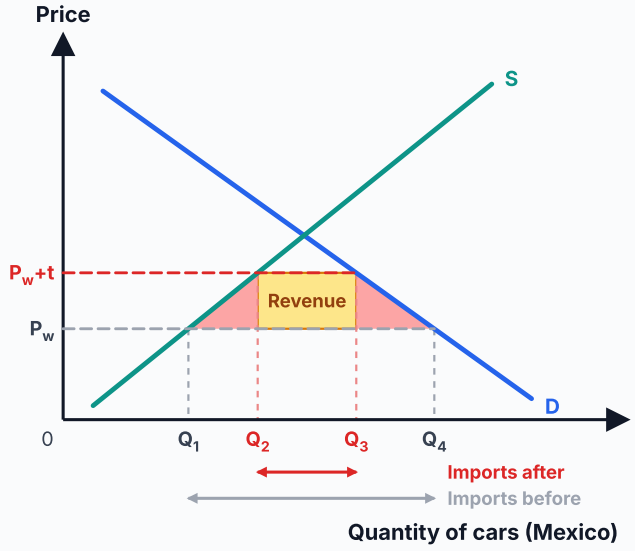
**50%**
top Mexican tariff rate

**1,463**
product categories covered

**US$5.73b**
India's exports to Mexico, 2025–26

**US$1.92b**
Indian car exports to Mexico

## DIAGRAM How a tariff on imported cars works




Before the tariff, Mexican buyers pay the world price $P_w$. Local firms supply $Q_1$ and imports fill the gap up to $Q_4$.

The tariff raises the price to $P_w$+t. Local output rises to $Q_2$, consumption falls to $Q_3$, and **imports shrink to $Q_2$–$Q_3$**. The government collects the yellow revenue, and the red triangles are **deadweight losses**.

**Exam angle:** Mexico's car makers and the government gain, but Mexican consumers and Indian exporters lose. A bilateral deal is a quicker way around the barrier than a WTO dispute, but it adds to the tangle of overlapping trade rules (the "spaghetti bowl").

## SYLLABUS LINK

Topic 1 – protectionism (tariffs and import replacement); its effects on world trade; the growth of bilateral and preferential trade agreements.

## TRY THIS

1. Using a tariff diagram, explain the effects of Mexico's tariff on Mexican consumers, Mexican producers and the government. **(4 marks)**
2. Why might India choose a bilateral agreement rather than the WTO to deal with these tariffs? **(3 marks)**

**Sources:**
1. NewsTrack – India–Mexico trade deal talks – https://english.newstrack.com/india-news/india-mexico-trade-deal-talks-to-begin-this-week-as-50-tariffs-threaten-indian-exports-643515



Summary written in our own words from the sources listed; diagrams are illustrative and not to scale.